

LECTURE NO 4 & 5

HS-403: Management and Entrepreneurship

- Engr. Tehseen Ahsan
- Assistant Professor, Computer Engineering Department
- HITEC University Taxila Cantt, Pakistan



Organizing and Staffing



Organizing and Staffing

Introduction to Organization

- **Organizing is arranging and structuring work to accomplish organizational goals.**
- **The process of arranging people and resources to work together to accomplish the goal.**
- **Organizing in management refers to the relationship between people, work and resources used to achieve the common objectives.**
- Process by which organizations arrange and utilize their resources like:
 - **Human Resources**
 - **Financial Resources**
 - **Real Assets**
 - **Physical and Informational Resources**

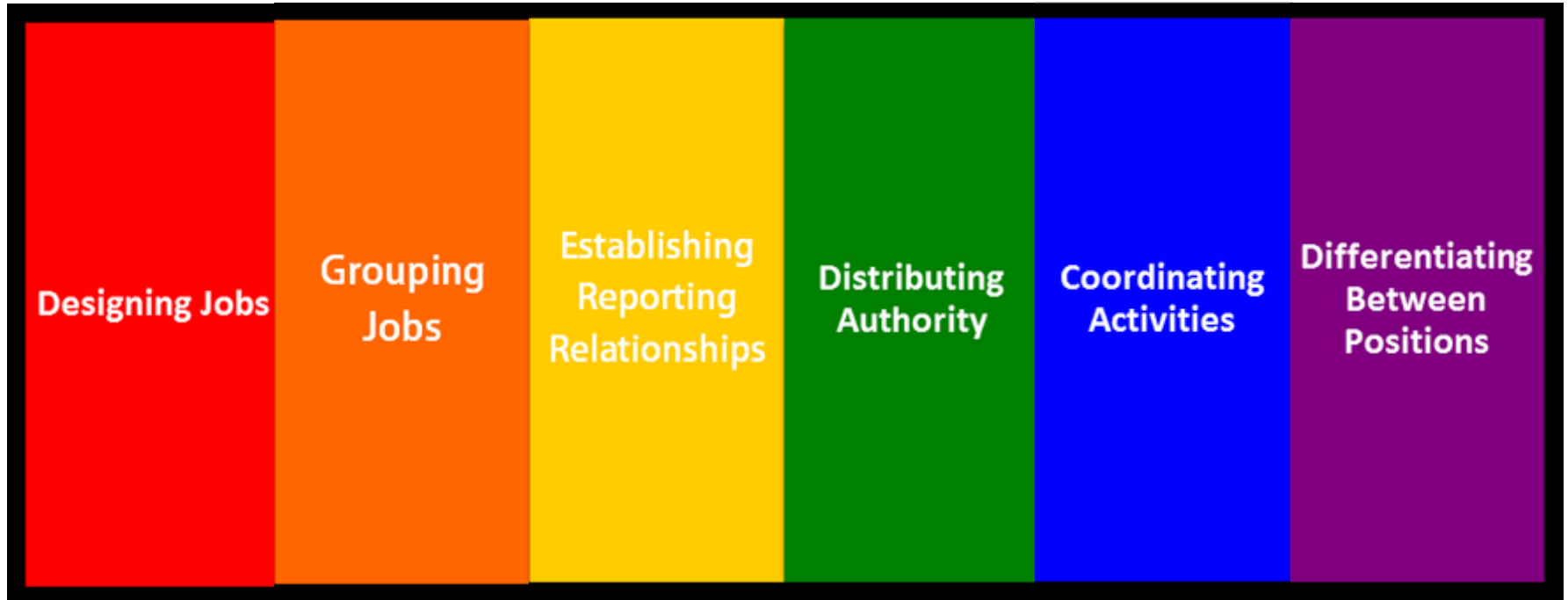
Types of Organizations

1. **Profit Organization:** Profit Oriented, and they aim to earn profit and the main purpose of such organization is profit maximization.
2. **Non Profit Organization:** Welfare oriented or their purpose and aim is welfare of the society. The ultimate purpose is not to earn profit but they may collect money as charity to keep the organization running.
3. **Formal Organization:** Organizations which have formal plan structure. Such organizations are having chain of command authority.
4. **Informal Organization:** Organizations are those, which don't have formal plan structure and they exist inside another Organization.

Types of Organizations

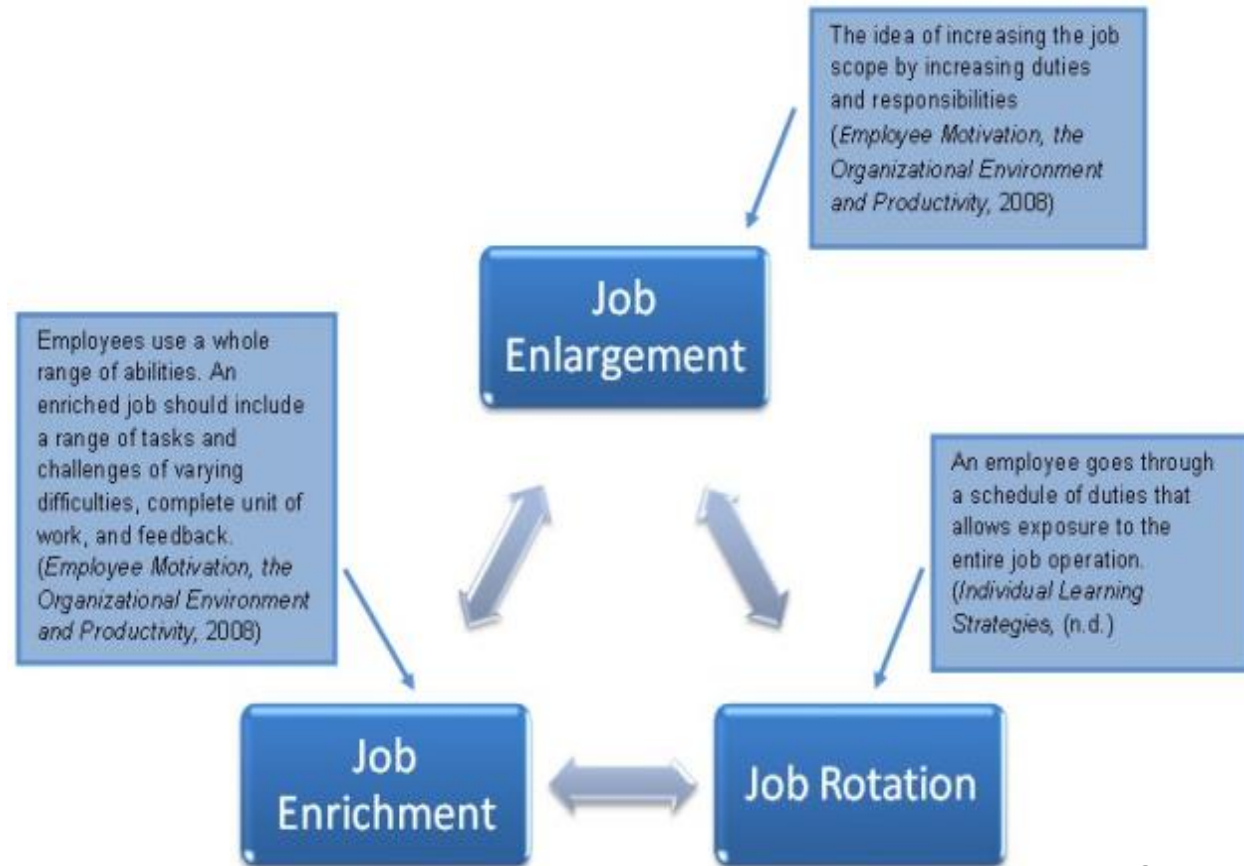
- 5. **Public Organization:** Organizations are Government owned organizations.
- 6. **Private Organization:** Organizations are owned and managed by private people.
- 7. **Manufacturing Organization:** Organizations which are indulged in production of tangible goods.
- 8. **Service Organization:** Organizations are not indulged in production but may help in transferring the product to the market.

Basic Elements of Organizing



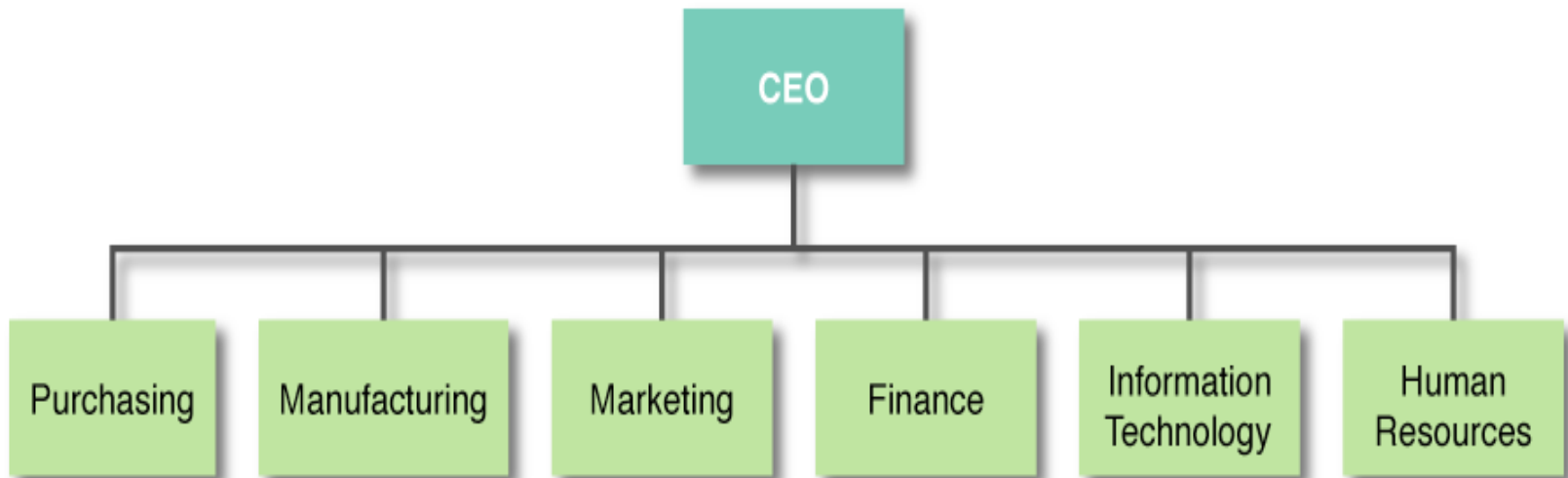
1. Designing Jobs

- Job design is the determination of an individual's work-related responsibilities.
- The most common form is job specialization.
- Because of various drawbacks to job specialization, managers have experimented with job rotation, job enlargement, job enrichment etc. as alternatives.



2. Grouping Jobs

- After jobs are designed, they are grouped into departments.
- There are many types of departmentalization. Each has its own unique advantages and disadvantages.



2. Grouping Jobs

1. FUNCTIONAL DEPARTMENTALIZATION

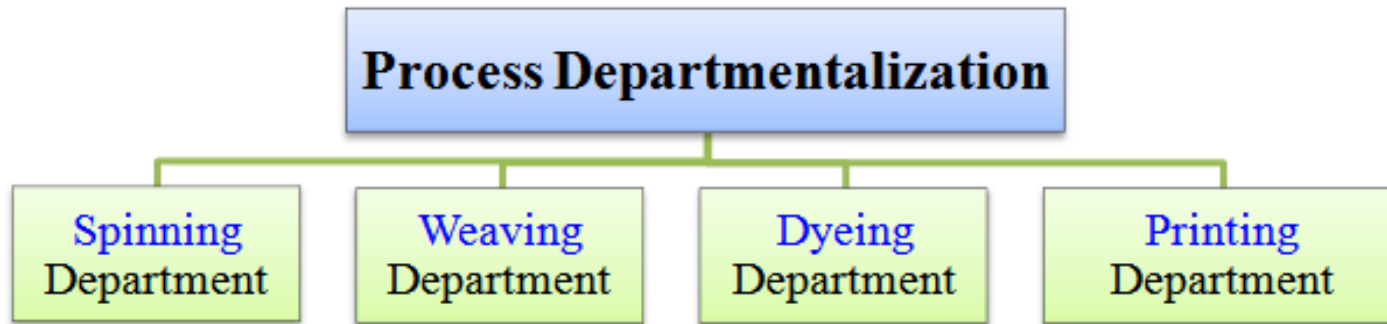
In functional departmentalization, departments are segregated i.e. separated from each other based on functions or tasks they perform.



2. Grouping Jobs

2. PROCESS DEPARTMENTALIZATION

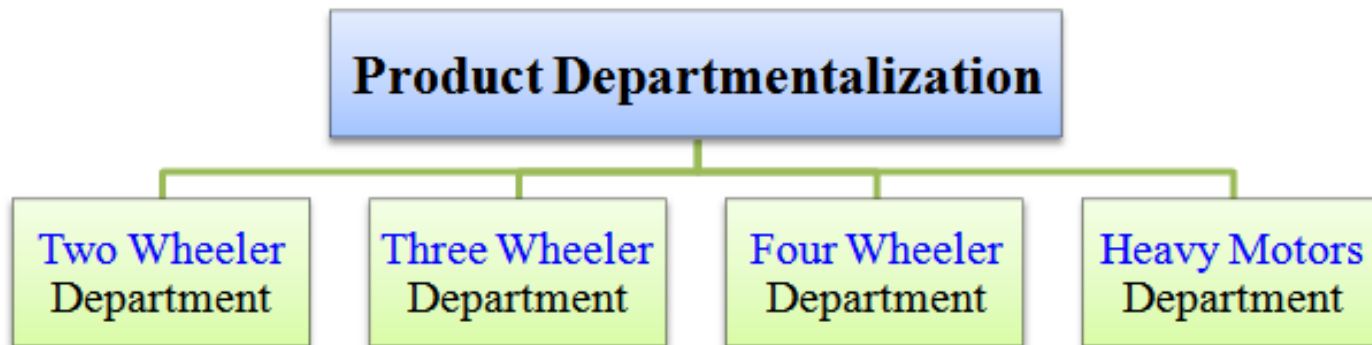
In process departmentalization, departments are separated based on their role in a production process.



2. Grouping Jobs

3. PRODUCT DEPARTMENTALIZATION

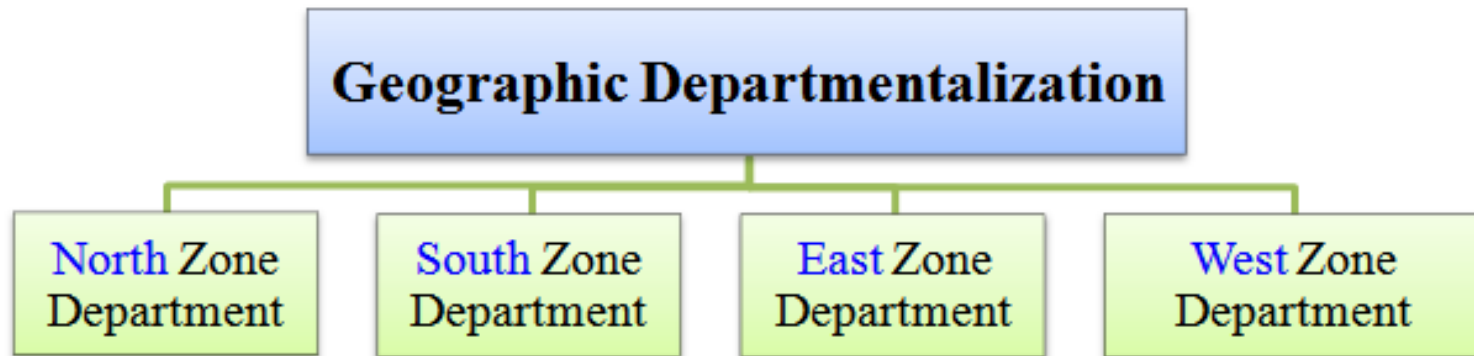
In product departmentalization, departments are separated based on a type of product produced by the company. Here, every individual department is responsible for producing and selling the type of product assigned to them.



2. Grouping Jobs

4. GEOGRAPHIC DEPARTMENTALIZATION

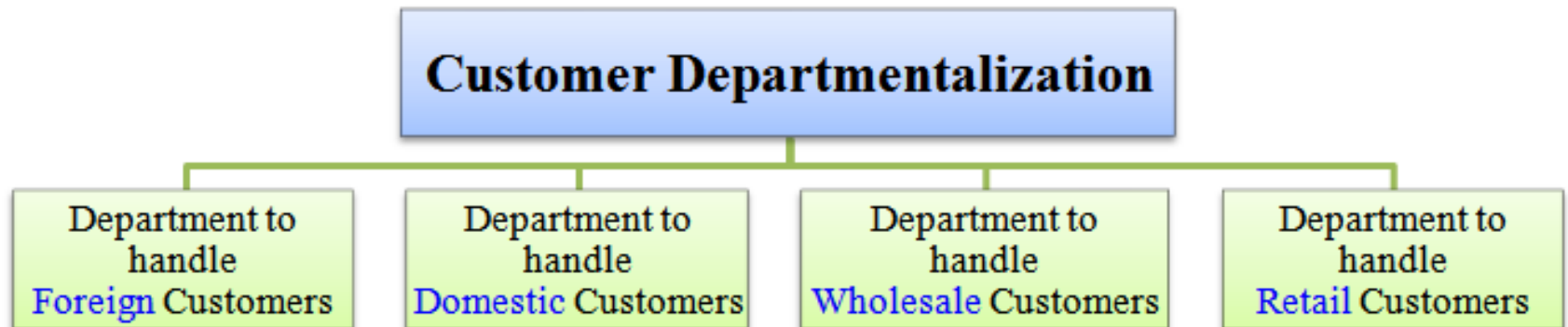
In geographic departmentalization, separate departments are made based on the company's (i.e. institution's) operations to be carried out either over a vast area or within some restricted area through branches or offices established at different zones or places in that area.



2. Grouping Jobs

5. CUSTOMER DEPARTMENTALIZATION

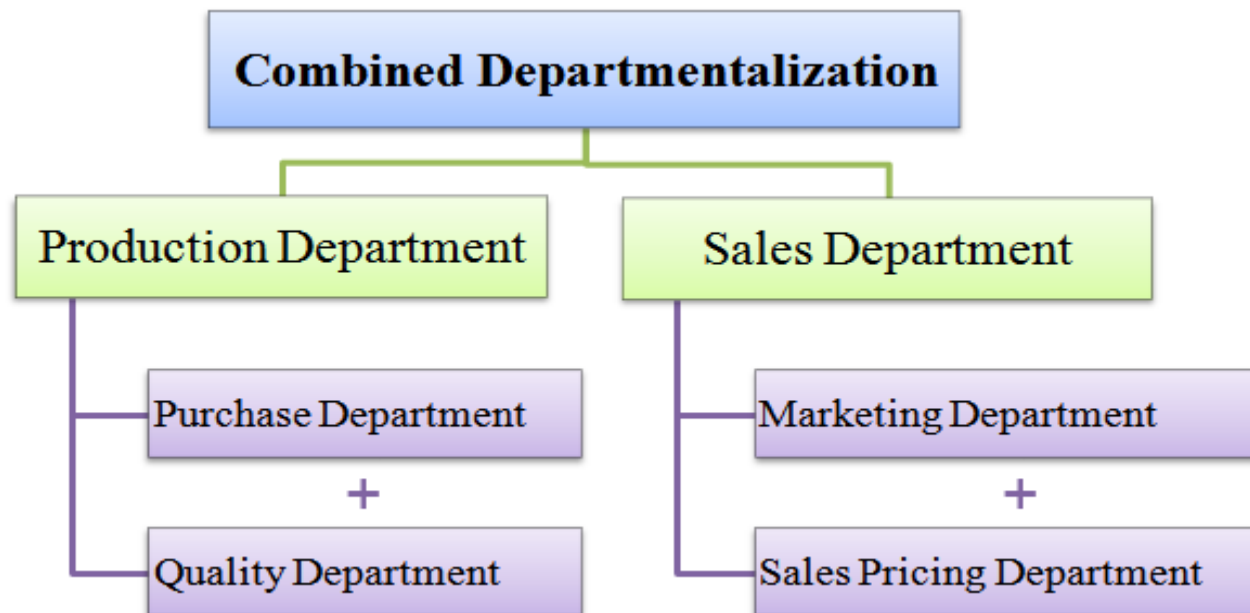
In customer departmentalization, departments are separated from each other based on the types of customers to be handled or dealt with.



2. Grouping Jobs

6. COMBINED DEPARTMENTALIZATION

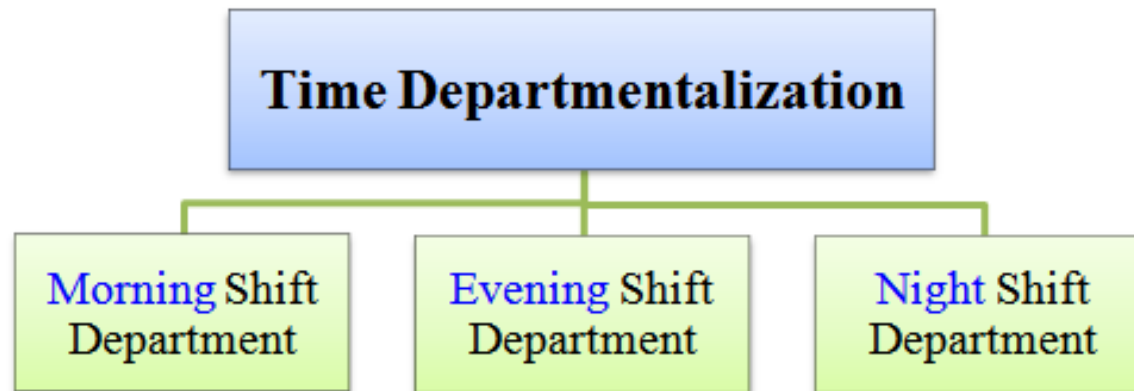
In combined departmentalization, a company or an organization uses a mixture or combination or union of two or more different bases of departmentalization.



2. Grouping Jobs

7. TIME DEPARTMENTALIZATION

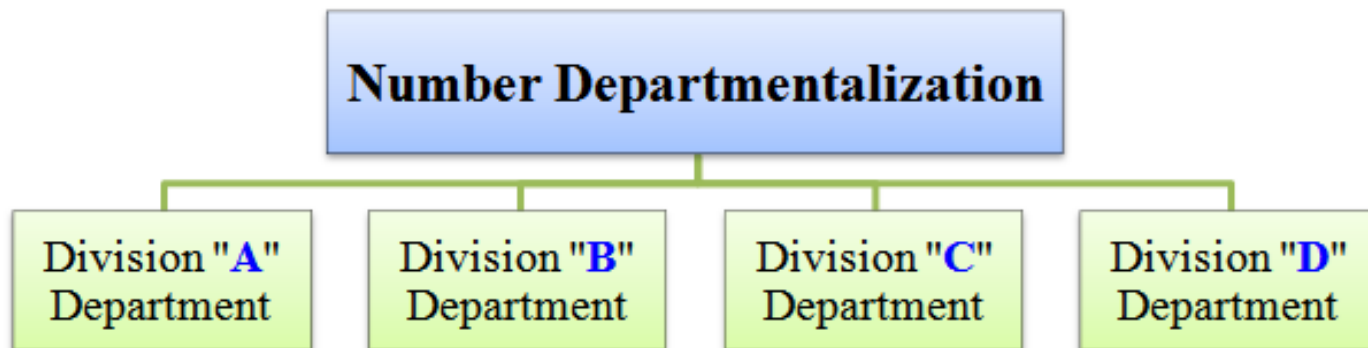
In time departmentalization, departments are separated based on the division of their working time or job shifts.



2. Grouping Jobs

8. NUMBER DEPARTMENTALIZATION

In number departmentalization, separate departments are made after analyzing and judging the maximum limit up to which number of persons can be managed or educated or supervised or taken care of. This method of departmentalization is generally used in schools and colleges for making division of classes.



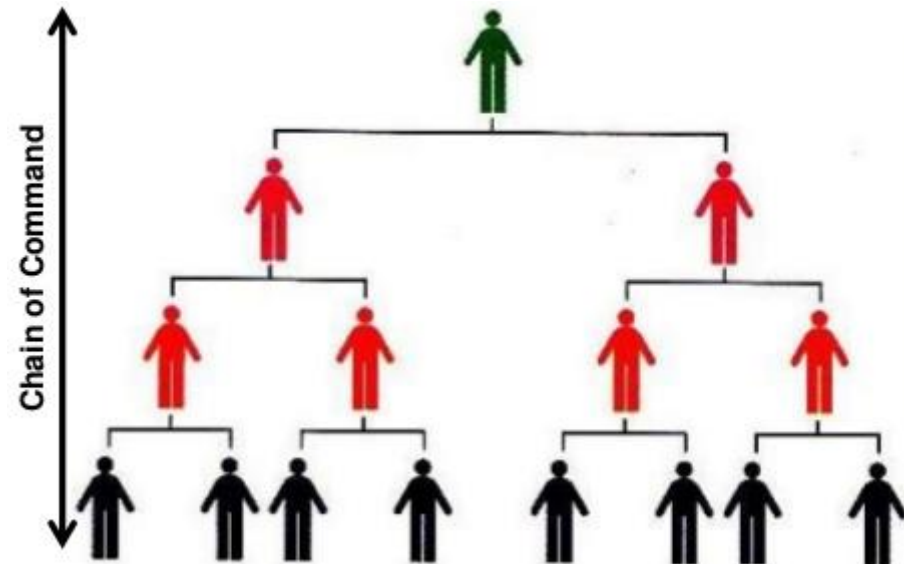
3. Establishing Reporting Relationships

- Establishing reporting relationships starts with clarifying the chain of command.
- The span of management partially dictates whether the organization is relatively tall or flat.
- In recent years there has been a trend toward flatter organizations.



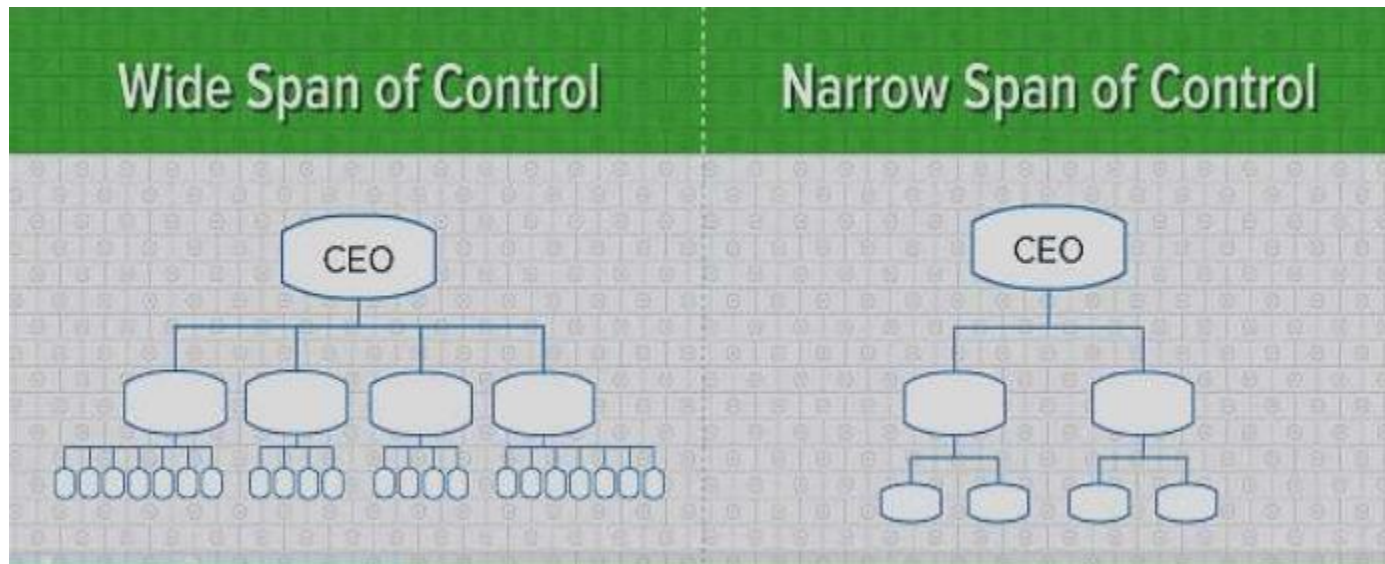
4. Distributing Authority

- Distributing authority is the process by which the manager assigns a portion of his or her total workload to others.
 1. **Chain of Command** – An unbroken line of authority and responsibility that extends from top of the organization all the way down to the bottom.
- Chain of command explains to every employee:
 1. What exactly do you do?
 2. Who reports to whom?
 3. Whom should you consult in case of problems?



4. Distributing Authority

2. **Span of Control** – this refers to the number of subordinates a manager can effectively manage.
- The higher the ratio of subordinates to a manager, the wider the span of control.



5. Coordinating Activities

- Coordination is the process of linking the activities of the various departments of the organization.
- Systems must be put into place to keep the activities of each department focused on organizational goal attainment.

6. Differentiating between Positions

- A line position is a position in the direct chain of command that is responsible for the achievement of an organization's goals.
- In contrast, a staff position provides expertise, advice, and support for line positions.



Organizing and **Staffing**

Introduction to Staffing

Staffing is the process of filling positions/posts in the organization with adequate and qualified personnel.

Staffing is the function by which managers build an organization through the recruitment, selection, and development of individuals as capable employees.

Importance of Staffing



Importance of Staffing

Workforce is
lifeforce

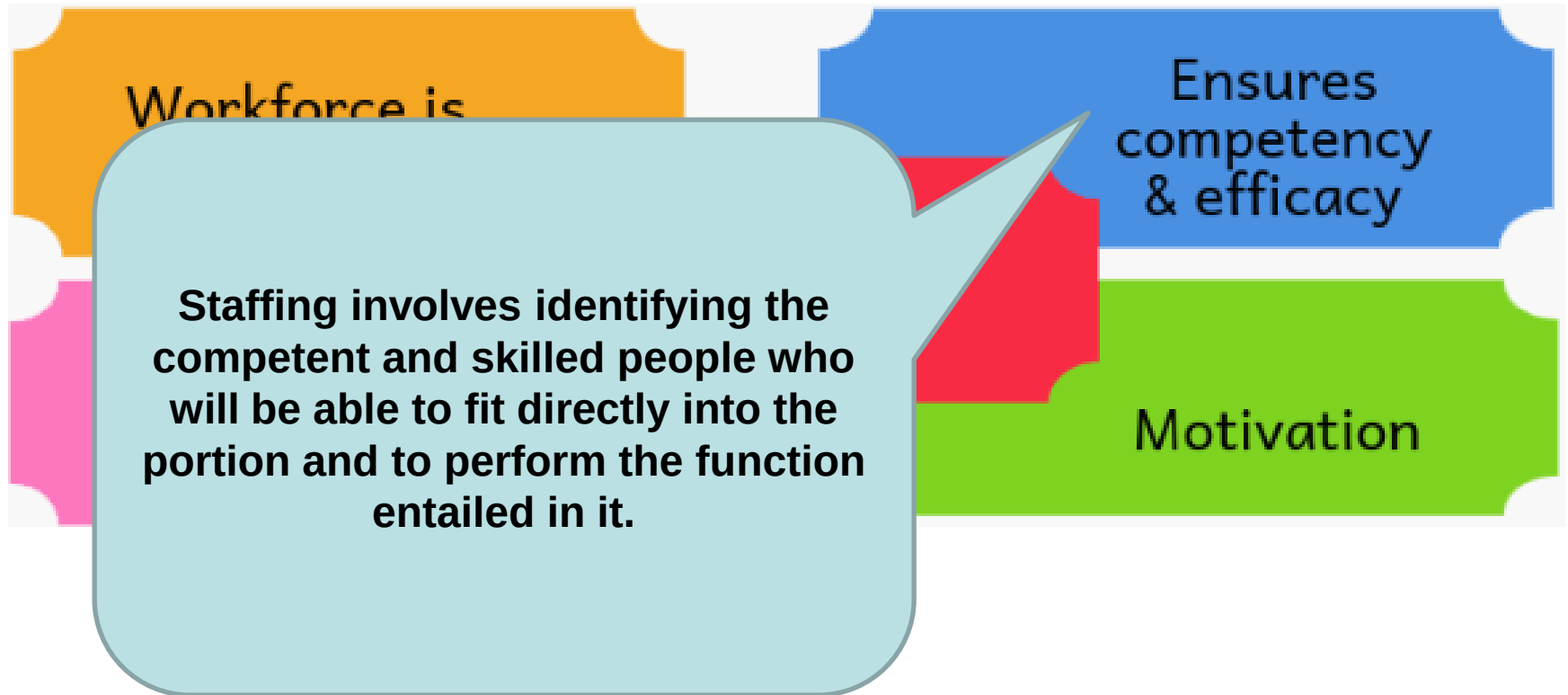
Optimum
utilization
resources

Ensures
agency
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Without the requisite human involvement in the motivated fashion for the betterment and the benefit of the business organization, the business will always be very far from the roadmap of success.

Importance of Staffing



Importance of Staffing

Introducing training and development in staffing process bring new synergy in the organization & help to create the system of motivation. The training provided by the organization helps to boost the level of confidence of the employees and also helps in breaking the monotonies of the job.

Ensures competency & efficacy

Motivation

Importance of Staffing

**Workforce is
lifeforce**

**Optimum
utilization
resources**

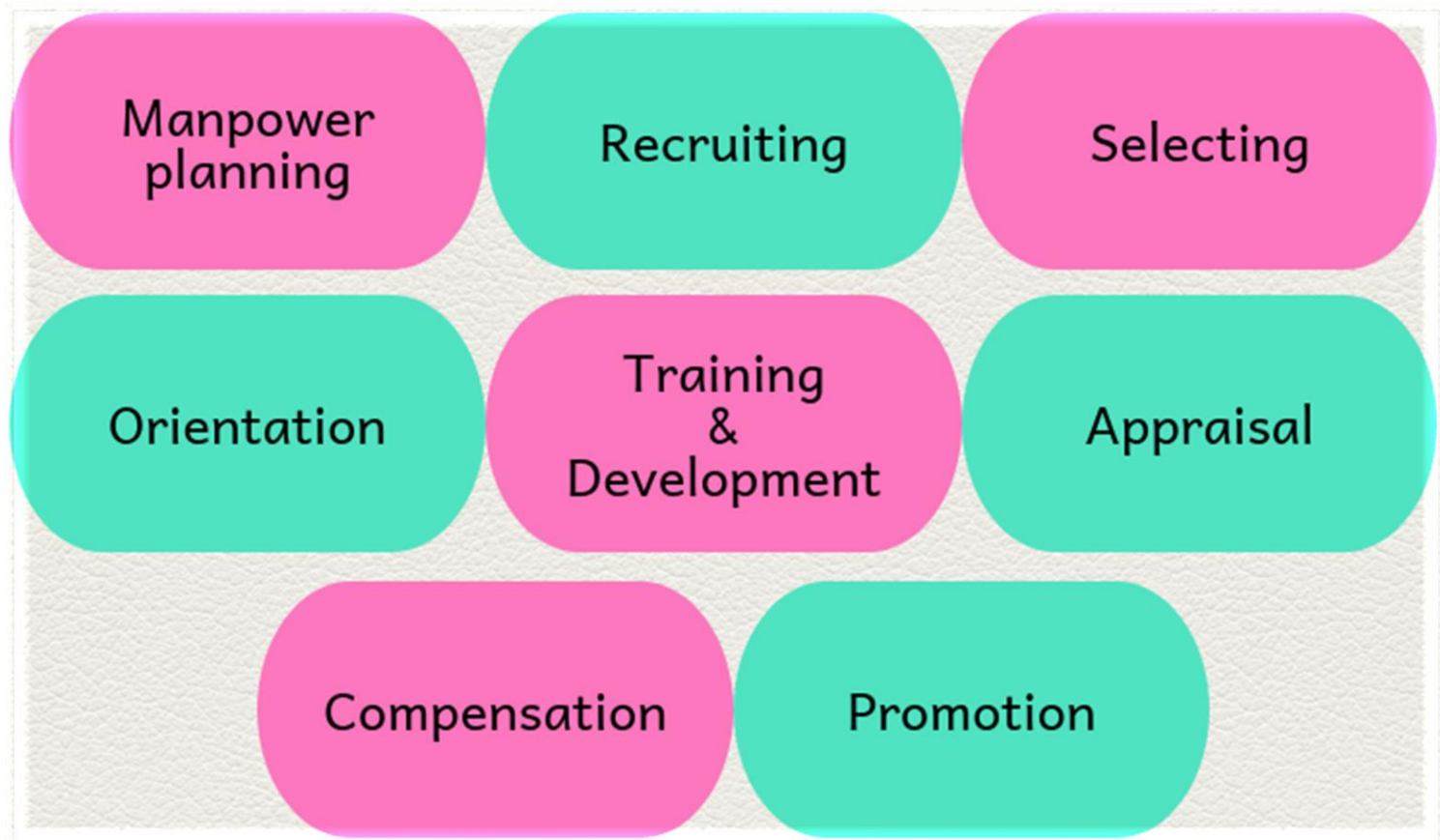
In today's world, the resources are scarce and all the resources including human resource need to be utilized, optimally for attaining business goals. Staffing is the process which ensures that not only the right candidates but also right numbers of people are staffed in the organization and are functionalizing in it.

Importance of Staffing



Steps Involved in Staffing

- Given below are the steps which are involved in staffing function management:



Steps Involved in Staffing

- 1. Manpower Planning:** It is the estimation of the workforce requirement and is the first step in the process of staffing as every step begins with the process of planning and identifying what is needed.
- 2. Recruiting:** Once the positions are determined and the required qualification is outlined, the need to identify the people who fulfill the required criteria arises.
- 3. Selection:** It is the process of screening & short listing the right person from a pool of eligible applicants.
- 4. Orientation:** It is the process by which new employees are introduced & made familiar to the workplace & company policies. Being a new employee, they must be made aware of terms and condition, rules, policies, objectives, benefits etc. of the organization.

Steps Involved in Staffing

5. **Training & Development:** As the proverb says “Practice makes the Man Perfect”; similarly training & development plays an important role in policing & nurturing employees’ skills.
6. **Appraisal:** Mere employment and training of employees is not the end of staffing function, it also includes the function of reward & appraisal with respect to the level of performance of each employee.
7. **Compensation:** Every employee needs to be compensated fairly for their hard work and efforts that he/she puts to your organization. All this depends on the criticality and nature of the job role of the employee.
8. **Promotion:** It is the elevation of the rank and the status of the employee which means a distinct change in the position of the employee. Promoting employees not only means a new position but also additional job roles, responsibilities & opportunities to shape their career in forward direction.

References

- ❑ Based in part on materials by *Ms. Samar Masood* (Lecturer in HITEC University Taxila Cantt).

Appendix

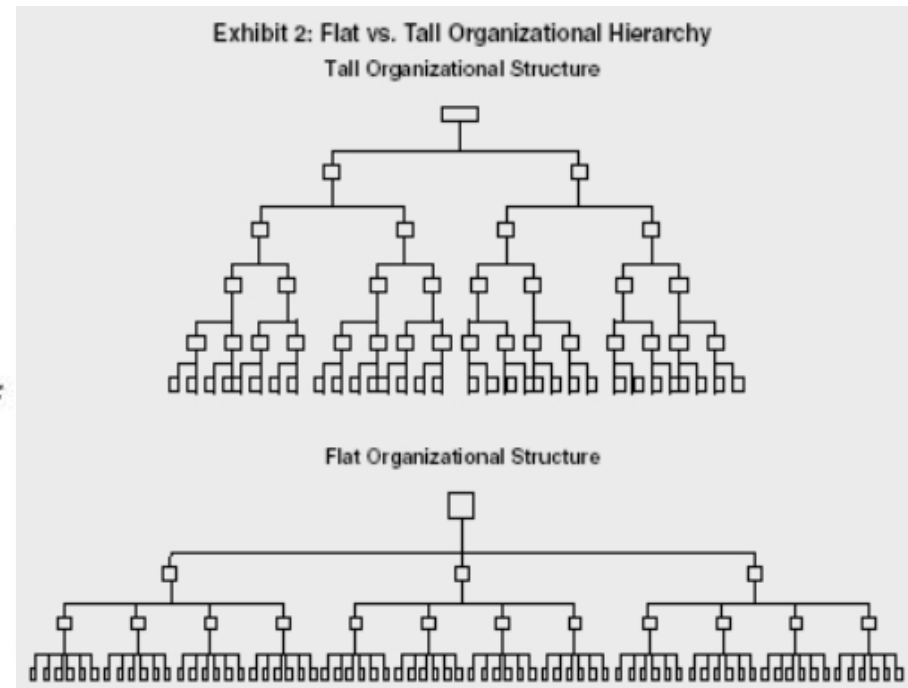
Span of Control Tall vs. Flat Organizations

• Tall

- More levels of hierarchy (12+)
- Managers have **NARROW** span of control (5 or 6 people)
- Staff => little freedom, operational direction from above

• Flat

- Fewer levels of hierarchy (less than 6)
- Managers have **WIDE** span of control (10-12 people)
- Staff => lots of freedom, operational direction from within



**Flatten Organization = Widen
Spans of Control**